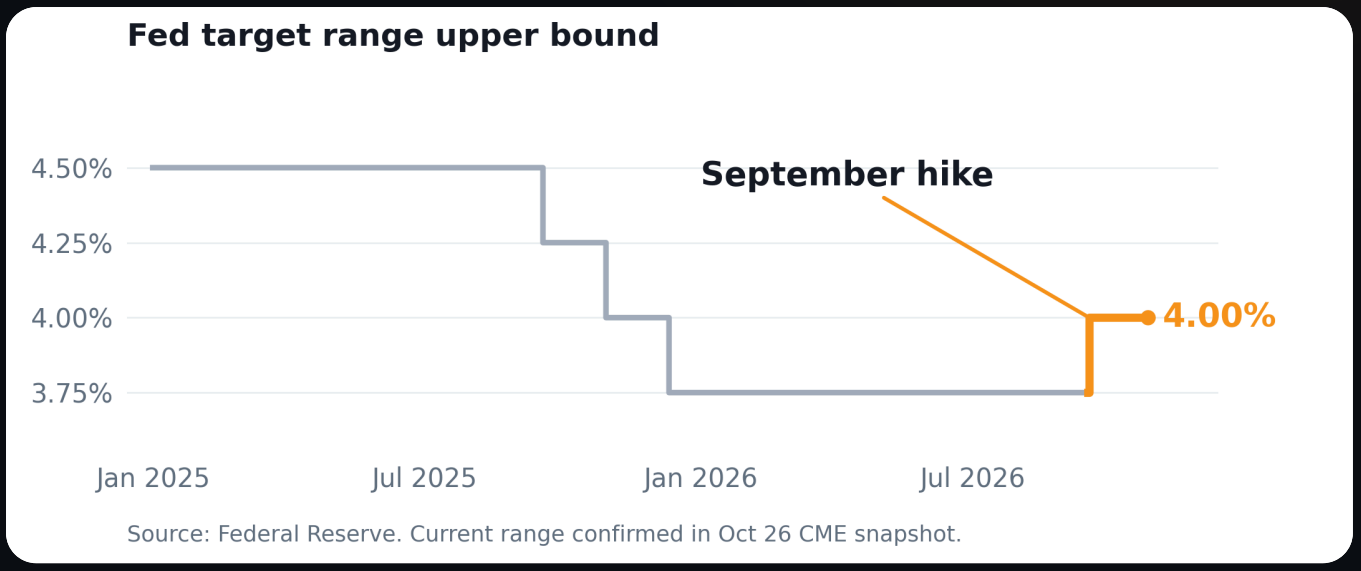
THE FED DECISION STUDY

Will the Fed hike again? The October and December odds, how often a second hike followed the first, and what Bitcoin and stocks did afterward.

The complete second-hike record comes first. The original 92-decision study follows in the appendix.



Source: Federal Reserve. Current range confirmed in Oct 26 CME snapshot.

6
completed first-hike episodes since 1990

2
Bitcoin second-hike cases

5
S&P 500 second-hike cases

A market probability, a historical frequency and a price return answer different questions. This guide keeps all three separate.

Bitcoin Jae
@bitcoin.daily

01 | THE NEXT DECISION

A HOLD IS THE OCTOBER FAVORITE

The Fed raised its target range by 25 basis points on 16 September 2026, to 3.75-4.00%. Another hike on 28 October would be the second of this episode. [1]

87.3%
October hold

12.7%
October hike

28 Oct
next decision

The market has moved sharply toward a pause. The same October meeting was priced for a hike a month earlier. A change in the price is new information about expectations, not a resolved forecast error.

FEDWATCH SNAPSHOT	CHANCE OF AN OCTOBER HIKE
25 September	64.2%
19 October	18.8%
23 October	10.0%
26 October, 01:11 CT	12.7%

All comparison readings come from the same user-supplied CME FedWatch screenshot.

The market favors a pause this week. That does not mean the market thinks the hiking episode is over.

Snapshot 26 October 2026, 01:11 CT (02:11 ET). These figures match the carousel and are not a live feed. Recheck CME FedWatch before using them. [2]

02 | THE NEXT MEETING AFTER THAT

DECEMBER IS A DIFFERENT QUESTION

The December 9 screen shows an 82.2% headline probability that the target range is higher than today's 3.75-4.00%. That is a cumulative outcome by December. It is not, by itself, the probability of a hike specifically at the December meeting.

TARGET RANGE AFTER 9 DECEMBER	PROBABILITY	CHANGE VERSUS TODAY
3.75-4.00%	17.8%	unchanged
4.00-4.25%	72.0%	+25 bp
4.25-4.50%	10.1%	+50 bp

The rounded higher-rate bins add to 82.1%; CME's displayed headline is 82.2%. This 0.1-point difference is rounding.

If October is a hold, how much chance of a December hike is implied? In a simple tree allowing only a hold or a 25 bp hike at each meeting, the unchanged December outcome requires both meetings to hold.

P(December hike | October hold) = 1 - 17.8 / 87.3 = 79.6%, or about 80%.

This is our conditional calculation from rounded inputs. It assumes no cuts, reversals or larger moves in that two-meeting tree. It is not a separately displayed CME quote. The 10.1% top bin would mean two further quarter-point hikes, on top of September's first hike.

Same October 26 snapshot. FedWatch converts futures prices into probabilities under model assumptions. [2]

03 | FIRST HIKE TO SECOND HIKE

FIVE OF SIX WITHIN ONE YEAR

We define a first hike as a positive target-rate change after at least 365 days with no hike. Since 1990 there are six completed starts before the ongoing September 2026 episode. Five had another hike within 365 days; four did within 183 days, roughly six months.

FIRST HIKE*	NEXT HIKE*	DAYS	WITHIN 6M	WITHIN 1Y
04 Feb 1994	22 Mar 1994	46	yes	yes
25 Mar 1997	None in cycle	-	no	no
30 Jun 1999	24 Aug 1999	55	yes	yes
30 Jun 2004	10 Aug 2004	41	yes	yes
16 Dec 2015	14 Dec 2016	364	no	yes
17 Mar 2022	05 May 2022	49	yes	yes

**Dates and elapsed days use the FRED target series. A modern target change can take effect the day after the announcement. [3]*

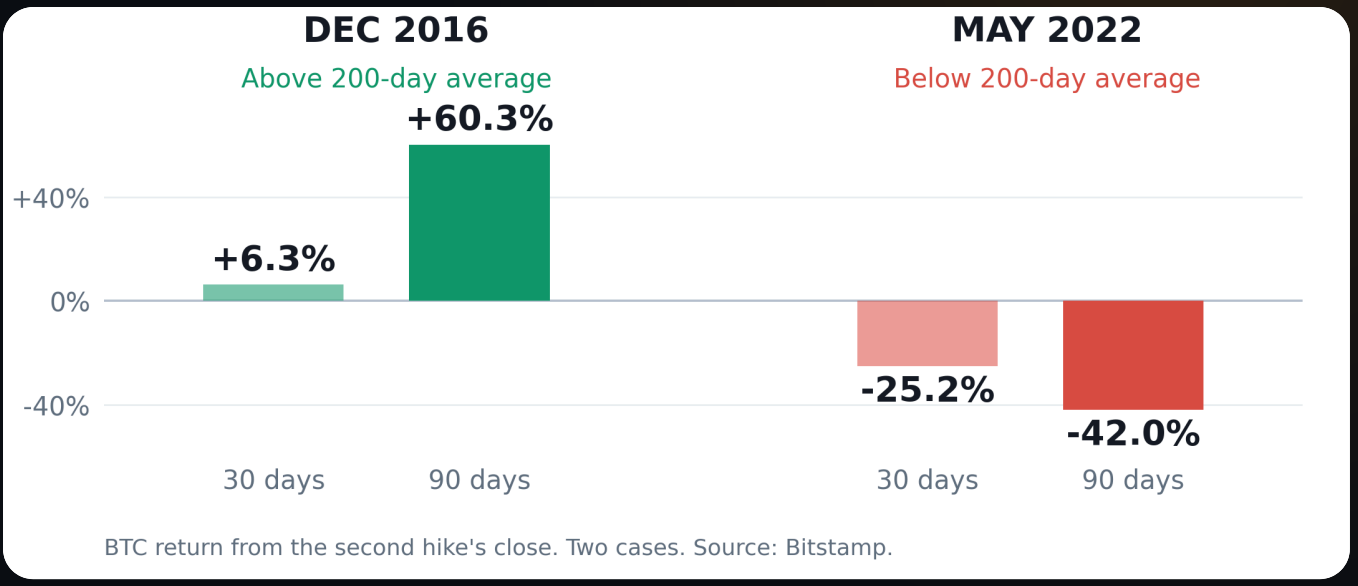
The four quick follow-ups arrived after 41, 46, 49 and 55 days, roughly six to eight weeks. The 2015 start waited 364 days. March 1997 was the one-and-done case; June 1999 began a new episode under this rule.

5 of 6 tells us that first hikes often developed into more hikes. It does not give an 83% probability for this Wednesday.

September 2026 is unfinished and excluded from the six-case denominator. Six months means 183 days; one year means 365 days.

04 | BITCOIN AFTER THE ACTUAL SECOND HIKE

TWO CASES. OPPOSITE OUTCOMES.



BTC return from the second hike's close. Two cases. Source: Bitstamp.

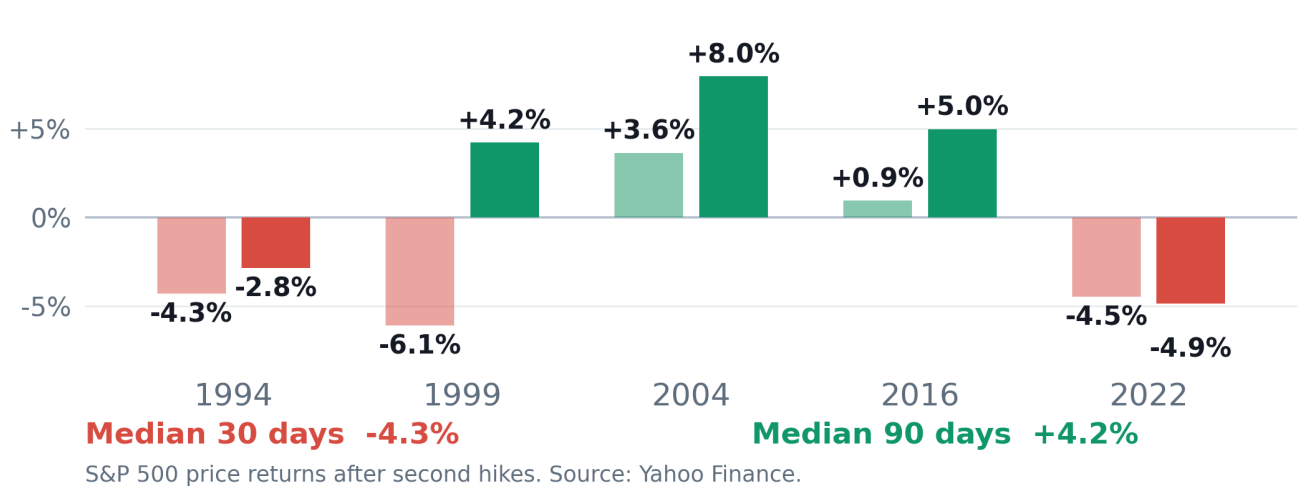
SECOND DECISION	VS. 200-DAY	+30 DAYS	+60 DAYS	+90 DAYS
14 Dec 2016	above	+6.3%	+28.8%	+60.3%
04 May 2022	below	-25.2%	-51.4%	-42.0%

Bitstamp BTC/USD decision-day close to later daily close. All returns are price returns. [4]

Bitcoin was above its 200-day average in December 2016 and below it in May 2022. The hikes differed too, 25 bp in 2016 and 50 bp in 2022. Those two cases cannot isolate the role of the Fed, the trend or the wider economy.

There are too few Bitcoin cases to claim a typical second-hike return. Show both outcomes instead of turning their average into a forecast.

THE S&P'S FIVE CASES



S&P 500 price returns after second hikes. Source: Yahoo Finance.

SECOND DECISION	VS. 200-DAY	+30 DAYS	+60 DAYS	+90 DAYS
22 Mar 1994	above	-4.3%	-3.0%	-2.8%
24 Aug 1999	above	-6.1%	-4.5%	+4.2%
10 Aug 2004	below	+3.6%	+4.0%	+8.0%
14 Dec 2016	above	+0.9%	+2.8%	+5.0%
04 May 2022	below	-4.5%	-11.0%	-4.9%

S&P 500 price returns, excluding dividends. Endpoints use the last trading close on or before the calendar-day horizon. [5]

The median was -4.3% after 30 days and +4.2% after 90 days. Stocks were higher in 3 of 5 cases at 90 days. The full range at that horizon was -4.9% to +8.0%.

These are five episodes across very different economies. They describe what followed; they do not measure the return caused by a second hike.

06 | HOW MUCH TO TRUST THE FAVORITE

WHAT THE ACCURACY STUDY ACTUALLY TESTED

Bonini, Huang and Simaan reconstructed the FedWatch method for 1994 through March 2024. They compared the most likely target with the target eventually chosen. Their sample spans 232 scheduled meetings overall; usable observations vary by forecast horizon. [6]

CALENDAR DAYS BEFORE THE MEETING	MOST LIKELY TARGET WAS CORRECT
30 days	88.4%
60 days	76.5%

Watching the FedWatch, January 11, 2025 manuscript, Table 2. These are the authors' results, not a Bitcoin Daily replication.

A favorite being correct 88.4% of the time is different from checking whether forecasts quoted at 87.3% happen 87.3% of the time. The former is a hit rate; the latter checks how well the probability itself is calibrated.

The table does not establish a two-day hit rate for this Wednesday, a hike-only success rate, or an 88.4% probability that October will hold. The sample includes holds.

Use 87.3% as the dated market-implied hold probability. Use 88.4% as evidence about the method's historical 30-day favorite, with a different denominator.

Correction to the earlier edition: small unadjusted current-month futures moves do not prove the market never missed a rate decision. That claim has been removed.

07 | WHAT TO WATCH ON DECISION DAY

READ THE DECISION AND THE PATH

1. Save the October and December odds immediately before the announcement, with a timestamp. A later quote cannot be used as the original forecast.
2. At 2:00 p.m. ET on October 28, record the target decision. A hold matches the favorite in our October 26 snapshot; a hike would be the lower-probability outcome.
3. After the statement and the 2:30 p.m. ET press conference, check the December distribution again. A hold this week can still accompany a stronger signal of another hike later.
4. Keep the price reaction separate from the forecast score. The rate decision can match expectations while the guidance changes the outlook.

For context, Bitcoin's completed 25 October close was $80,048.21, 9.7% above its 200-day mean of $72,945.40. That is the same trend definition used in the tables. It is not evidence that 2016's return will repeat.

If Wednesday is a hold, the next useful question is whether December's hike probability rises or falls after the Fed explains why.

Schedule from the Federal Reserve. This checklist is for interpreting the release, not an entry or exit rule. [1]

08 | HOW THE NEW RESEARCH WAS MEASURED

SAME RULER. SMALL SAMPLES.

Episode selection. First hikes follow 365 days without a positive target change. A second hike is the next hike inside that episode, before a new year-long no-hike gap. The 2026 episode is ongoing. No second-hike return is assigned to 1997.

Return anchors. Actual second decision dates are 22 March 1994, 24 August 1999, 10 August 2004, 14 December 2016 and 4 May 2022. The cycle table's effective dates and the return table's announcement dates serve different purposes.

Price windows. Return = (endpoint close / decision-day close - 1) x 100. Horizons are 30, 60 and 90 calendar days. Bitcoin uses UTC daily closes; stocks use the last trading close on or before the endpoint. Stocks exclude dividends. These are not executable trade returns.

Trend. Bitcoin uses the mean of 200 daily closes. The S&P uses 200 trading closes. Both include the decision-day close, so neither is a signal known before the announcement.

Limits. Two Bitcoin cases and five stock cases cannot establish a stable effect. Overlapping policy changes, growth, inflation and other events also move prices. A historical fraction is not automatically the probability of the next event.

The new study and screenshot inputs are frozen for the October 26 edition. All individual results are shown rather than selecting only bullish or bearish cases.

APPENDIX A | THE ORIGINAL STUDY

THE ORIGINAL 92 DECISIONS

This appendix preserves the earlier study's 92 scheduled decisions from January 2015 through July 2026. It contains 20 hikes, 9 cuts and 63 holds. September 2026 is not in this archived event sample. The October research in the preceding chapters is separate.

Each event is the scheduled announcement day. The change in the FRED upper target determines hike, cut or hold, matched within three days of the announcement. Unscheduled emergency decisions are outside this sample.

Run-up means the close seven days before the decision to the decision-day close. Forward windows start at that close and end 7, 30, 60 and 90 calendar days later. Trend means above or below the 200-day daily-close average on the decision day.

The saved event results are retained from the September edition. A pending cell means the horizon was not available in that saved table, even if it has since elapsed. Counts in the next tables use only available outcomes.

Read these as descriptive outcomes after decisions. They do not show that hikes caused losses or that holds caused gains.

The original broad sample answers a different question from the two actual Bitcoin second-hike events. It must not be used to inflate that two-case sample.

APPENDIX B | ORIGINAL OUTCOME SUMMARY

HIKES, CUTS AND HOLDS

OUTCOME	EVENTS	RUN-UP 7D	+7D	+30D / HIGHER	+60D / HIGHER	+90D / HIGHER
hike	20	+1.4%	-0.6%	-6.0% / 3 of 20	-3.2% / 8 of 20	+0.9% / 10 of 20
cut	9	+2.3%	-0.8%	-5.0% / 3 of 9	-19.1% / 2 of 9	-17.4% / 3 of 9
hold	63	+1.5%	+0.3%	+6.5% / 40 of 63	+10.1% / 41 of 62	+15.6% / 41 of 62

Medians and higher-close counts from the archived 92-event table. Denominators exclude pending results.

The original sample had a weak month after hikes and a stronger quarter after holds. Cuts were not automatically followed by gains. Those patterns span different market regimes, and a policy decision is often a response to the same conditions moving Bitcoin.

A median gives the middle result, not the expected return of the next decision. Decisions in the same policy cycle are related, so 20 hikes should not be treated as 20 fully independent macroeconomic experiments.

This edition does not re-estimate the original any-day comparison. The archived event counts are shown directly, with no claim of a causal policy effect.

APPENDIX C | EVERY ORIGINAL HIKE

ALL 20 HIKES

DECISION	SIZE	200-DAY	RUN-UP	+7D	+30D	+60D	+90D
16 Dec 2015	25 bp	above	+9%	-3%	-21%	-11%	-9%
14 Dec 2016	25 bp	above	+2%	+7%	+6%	+29%	+60%
15 Mar 2017	25 bp	above	+9%	-17%	-7%	+42%	+115%
14 Jun 2017	25 bp	above	-9%	+8%	-10%	+65%	+70%
13 Dec 2017	25 bp	above	+19%	+1%	-15%	-50%	-44%
21 Mar 2018	25 bp	below	+9%	-11%	-0%	-4%	-24%
13 Jun 2018	25 bp	below	-18%	+7%	-1%	+0%	-0%
26 Sep 2018	25 bp	below	+1%	-0%	-1%	-39%	-41%
19 Dec 2018	25 bp	below	+7%	+3%	-2%	-2%	+9%
16 Mar 2022	25 bp	below	-2%	+4%	-1%	-24%	-46%
04 May 2022	50 bp	below	+1%	-27%	-25%	-51%	-42%
15 Jun 2022	75 bp	below	-25%	-11%	-8%	+8%	-11%
27 Jul 2022	75 bp	below	-1%	-1%	-12%	-18%	-13%
21 Sep 2022	75 bp	below	-9%	+5%	+4%	-12%	-8%
02 Nov 2022	75 bp	below	-3%	-21%	-15%	-18%	+15%
14 Dec 2022	50 bp	below	+6%	-5%	+12%	+22%	+39%
01 Feb 2023	25 bp	above	+3%	-3%	-6%	+19%	+21%
22 Mar 2023	25 bp	above	+12%	+4%	-0%	-2%	+4%
03 May 2023	25 bp	above	+2%	-5%	-6%	+5%	+2%
26 Jul 2023	25 bp	above	-2%	-1%	-11%	-11%	+16%

Original scheduled-decision sample through July 2026. Rounded to whole percentages; the new second-hike chapters show one decimal place.

APPENDIX D | EVERY ORIGINAL CUT

ALL NINE CUTS

DECISION	SIZE	200-DAY	RUN-UP	+7D	+30D	+60D	+90D
31 Jul 2019	25 bp	above	+3%	+19%	-5%	-20%	-7%
18 Sep 2019	25 bp	above	-0%	-17%	-22%	-16%	-35%
30 Oct 2019	25 bp	above	+23%	+2%	-15%	-19%	+3%
18 Sep 2024	50 bp	below	+8%	+2%	+11%	+46%	+72%
07 Nov 2024	25 bp	above	+8%	+15%	+32%	+35%	+27%
18 Dec 2024	25 bp	above	-1%	-1%	+4%	-4%	-17%
17 Sep 2025	25 bp	above	+2%	-3%	-9%	-19%	-25%
29 Oct 2025	25 bp	above	+2%	-6%	-17%	-20%	-19%
10 Dec 2025	25 bp	below	-2%	-6%	-2%	-24%	-24%

Unscheduled emergency cuts are excluded. Original scheduled-decision sample through July 2026.

A cut can occur alongside a weakening economy, lower inflation or financial stress. The later price move reflects the whole setting. This table cannot identify how Bitcoin would have performed if the Fed had chosen a different rate.

APPENDIX E | TREND SPLITS

ABOVE OR BELOW THE 200-DAY

OUTCOME / TREND	EVENTS	+30D MEDIAN	+30D HIGHER	+90D MEDIAN	+90D HIGHER
hike, above	9	-6.9%	1 of 9	+15.5%	7 of 9
hike, below	11	-1.5%	2 of 11	-10.5%	3 of 11
cut, above	7	-8.6%	2 of 7	-17.4%	2 of 7
cut, below	2	+4.6%	1 of 2	+24.0%	1 of 2
hold, above	42	+5.8%	27 of 42	+19.4%	30 of 42
hold, below	21	+7.1%	13 of 21	+6.5%	11 of 20

Trend uses the same 200-day average in every row. Positive-count denominators exclude missing outcomes.

Some cells are very small. The two cut events below the average are just two events, not a reliable forecast distribution. Grouping by trend also does not control for all the economic differences between episodes.

The earlier edition mixed an alternative market-structure description with the 200-day grouping. This edition uses the stated 200-day rule consistently. Different trend definitions cannot be swapped into the same historical result.

APPENDIX F | THE TREASURY REACTION

A YIELD-MOVE PROXY

The original surprise chapter grouped decisions by the daily change in the 2-year Treasury yield. A rise of at least 8 bp was labeled hawkish; a fall of at least 8 bp was labeled dovish. Here those labels are replaced with the actual yield moves so they are not mistaken for a measured forecast error.

2-YEAR MOVE ON DECISION DAY	EVENTS	+1D	+7D	+30D	+90D
Up 8 bp or more	8	-1.0%	-0.3%	-1.1%	-9.9%
Inside +/-8 bp	70	+0.0%	-0.0%	+3.8%	+11.4%
Down 8 bp or more	14	+0.4%	+0.6%	-0.2%	+11.7%

Bitcoin median returns from the archived surprise table. FRED DGS2 daily yield changes are not intraday policy surprises.

A daily yield move can include the decision, guidance, inflation news and other trading that day. A small move does not prove the rate was fully priced, and a large move does not prove the rate decision was unexpected.

The 2-year reaction and the FedWatch forecast score are different measurements. Neither should be substituted for the other.

APPENDIX G | LARGER TREASURY MOVES

THE 14 LARGER MOVES

DECISION DAY	DECISION	2-YEAR	+1D	+7D	+30D	+90D
18 Mar 2015	hold	-13 bp	+2%	-4%	-13%	-2%
17 Sep 2015	hold	-12 bp	+0%	+1%	+16%	+96%
16 Mar 2016	hold	-11 bp	+0%	+0%	+3%	+64%
14 Dec 2016	hike	+10 bp	-0%	+7%	+6%	+60%
19 Jun 2019	hold	-12 bp	+3%	+39%	+14%	+10%
26 Jan 2022	hold	+11 bp	+1%	+0%	+7%	+4%
04 May 2022	hike	-12 bp	-8%	-27%	-25%	-42%
15 Jun 2022	hike	-25 bp	-10%	-11%	-8%	-11%
01 Feb 2023	hike	-12 bp	-1%	-3%	-6%	+21%
22 Mar 2023	hike	-21 bp	+4%	+4%	-0%	+4%
01 Nov 2023	hold	-12 bp	-1%	+1%	+9%	+21%
13 Dec 2023	hold	-27 bp	+0%	+2%	-0%	+67%
29 Oct 2025	cut	+12 bp	-2%	-6%	-17%	-19%
17 Jun 2026	hold	+15 bp	-2%	-5%	-1%	+20%

Absolute daily yield move of at least 10 bp. This display threshold differs from the 8 bp grouping threshold on the preceding page.

These are large daily Treasury moves, not 14 proven policy forecast misses. The sign describes the yield change only.

APPENDIX H | THE ORIGINAL YIELD SPREAD

ALL 20 HIKES AND THE SPREAD

HIKE	2-YEAR	NEW UPPER TARGET	SPREAD	+30D BTC	+90D BTC
16 Dec 2015	1.02%	0.50%	+52 bp	-21%	-9%
14 Dec 2016	1.27%	0.75%	+52 bp	+6%	+60%
15 Mar 2017	1.33%	1.00%	+33 bp	-7%	+115%
14 Jun 2017	1.35%	1.25%	+10 bp	-10%	+70%
13 Dec 2017	1.79%	1.50%	+29 bp	-15%	-44%
21 Mar 2018	2.31%	1.75%	+56 bp	-0%	-24%
13 Jun 2018	2.59%	2.00%	+59 bp	-1%	-0%
26 Sep 2018	2.83%	2.25%	+58 bp	-1%	-41%
19 Dec 2018	2.63%	2.50%	+13 bp	-2%	+9%
16 Mar 2022	1.95%	0.50%	+145 bp	-1%	-46%
04 May 2022	2.66%	1.00%	+166 bp	-25%	-42%
15 Jun 2022	3.20%	1.75%	+145 bp	-8%	-11%
27 Jul 2022	2.96%	2.50%	+46 bp	-12%	-13%
21 Sep 2022	4.02%	3.25%	+77 bp	+4%	-8%
02 Nov 2022	4.61%	4.00%	+61 bp	-15%	+15%
14 Dec 2022	4.23%	4.50%	-27 bp	+12%	+39%
01 Feb 2023	4.09%	4.75%	-66 bp	-6%	+21%
22 Mar 2023	3.96%	5.00%	-104 bp	-0%	+4%
03 May 2023	3.89%	5.25%	-136 bp	-6%	+2%
26 Jul 2023	4.82%	5.50%	-68 bp	-11%	+16%

2-year Treasury yield minus the new upper target. The spread is not a probability or a count of future hikes.

The earlier edition treated a 25 bp gap as another hike priced and a closed gap as the Fed being done. Those interpretations are withdrawn. Yields also include term and risk premia and expectations over many meetings.

SOURCES | POLICY AND PROBABILITY

WHERE THE NUMBERS COME FROM

[1] Federal Reserve, September 16, 2026 statement

The target increase to 3.75-4.00%.

Federal Reserve, FOMC calendars

Meeting dates, statement releases and press conferences.

[2] CME FedWatch methodology

How futures prices become a target-rate probability tree. The two screenshots supplied for this post are stamped October 26, 2026, 01:11:27 CT.

CME FedWatch live tool

Check the latest probabilities; the guide preserves the carousel's dated snapshot.

[3] FRED, historical federal funds target

DFEDTAR for the earlier target-rate history.

FRED, upper target

DFEDTARU for the target range's upper bound.

SOURCES | PRICES AND ACCURACY

REPRODUCIBLE COMPARISONS

[4] Bitstamp BTC/USD daily OHLC

Bitcoin prices use a frozen daily-close history. Return and moving-average calculations are Bitcoin Daily's.

[5] S&P 500 historical prices

Cash-index history from Yahoo Finance (^GSPC). All five start closes and all 15 endpoint closes were cross-checked against a fresh download within one cent.

[6] Watching the FedWatch

Stefano Bonini, Shengyu Huang and Majeed Simaan. January 11, 2025 manuscript, Table 2, calendar-day horizons. Authors' reported results, not an independent replication.

FRED, 2-year Treasury yield

DGS2 supplies the daily yield changes and spreads in the original appendix.

Edition note. Updated 26 October 2026 to match the second-hike carousel. The original 92-event dataset is retained as a dated appendix; new second-hike results and forecast-accuracy research are presented separately.

Educational research, not financial advice. Historical outcomes do not establish what will happen at the next meeting or what price will do afterward.

BITCOIN DAILY

COME FIND ME

This is the kind of breakdown I do every day. The hype brings the noise. I bring the data.

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